



ESSENTIALS OF FINANCIAL ACCOUNTING

Lesson 6

Enrichment Exercise # 2

1. Choose a public company and identify through the footnote disclosures:
 - a. What was the difference between the gross Property, Plant and Equipment (PPE) account vs. the Net PPE?
 - b. Identify the Goodwill disclosure: what acquisition(s) did they make that resulted in Goodwill? Was there any impairment to this value?

Using Apple's 2015 Annual Report:

<https://d1lge852tjjgow.cloudfront.net/CIK-0000320193/fae19475-b538-441b-ab15-0a311f161ebb.pdf>

CONSOLIDATED BALANCE SHEETS		
(In millions, except number of shares which are reflected in thousands and par value)		
	September 26, 2015	September 27, 2014
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 21,120	\$ 13,844
Short-term marketable securities	20,481	11,233
Accounts receivable, less allowances of \$82 and \$86, respectively	16,849	17,460
Inventories	2,349	2,111
Deferred tax assets	5,546	4,318
Vendor non-trade receivables	13,494	9,759
Other current assets	9,539	9,806
Total current assets	89,378	68,531
Long-term marketable securities	164,065	130,162
Property, plant and equipment, net	22,471	20,624
Goodwill	5,116	4,616
Acquired intangible assets, net	3,893	4,142
Other assets	5,556	3,764
Total assets	\$ 290,479	\$ 231,839

As you can see on the face of the balance sheet, Apple reports PPE at the net amount of \$22,471 million for fiscal year ended 2015. Let's get behind this number!

If you read ahead to this detailed footnote disclosure on page 53, Apple provides a detailed breakdown of this value. You are able to further understand what types of assets they own (land, buildings, etc) and the gross value (or historical cost value, what they originally paid) versus the net value on the balance sheet. The gross value is \$49,257 million and the net value is 22,471.

Property, Plant and Equipment, Net

	2015	2014
Land and buildings	\$ 6,956	\$ 4,863
Machinery, equipment and internal-use software	37,038	29,639
Leasehold improvements	5,263	4,513
Gross property, plant and equipment	49,257	39,015
Accumulated depreciation and amortization	(26,786)	(18,391)
Total property, plant and equipment, net	\$ 22,471	\$ 20,624

Apple Inc. | 2015 Form 10-K | 53

Apple provides detailed footnote disclosures related to goodwill. In this footnote, they tell us when they assess impairment (in the fourth quarter of each year) and that they did not that they did not need to record any impairment charges during the last 3 years. In other words, the value of the goodwill asset (the premium they paid when acquiring other businesses above their fair value) did not deteriorate.

Long-Lived Assets Including Goodwill and Other Acquired Intangible Assets

The Company reviews property, plant and equipment, inventory component prepayments and certain identifiable intangibles, excluding goodwill, for impairment. Long-lived assets are reviewed for impairment whenever events or changes in circumstances indicate the carrying amount of an asset may not be recoverable. Recoverability of these assets is measured by comparison of their carrying amounts to future undiscounted cash flows the assets are expected to generate. If property, plant and equipment, inventory component prepayments and certain identifiable intangibles are considered to be impaired, the impairment to be recognized equals the amount by which the carrying value of the assets exceeds its fair value.

The Company does not amortize goodwill and intangible assets with indefinite useful lives, rather such assets are required to be tested for impairment at least annually or sooner whenever events or changes in circumstances indicate that the assets may be impaired. The Company performs its goodwill and intangible asset impairment tests in the fourth quarter of each year. The Company did not recognize any impairment charges related to goodwill or indefinite lived intangible assets during 2015, 2014 and 2013. The Company established reporting units based on its current reporting structure. For purposes of testing goodwill for impairment, goodwill has been allocated to these reporting units to the extent it relates to each reporting unit. In 2015 and 2014, the Company's goodwill was primarily allocated to the Americas and Europe reporting units.

The Company amortizes its intangible assets with definite useful lives over their estimated useful lives and reviews these assets for impairment. The Company typically amortizes its acquired intangible assets with definite useful lives over periods from three to seven years.

In this next footnote below, they provide further details related to the acquisition of Beats Music and they provide a reconciliation of the Intangible asset value presented on the face of the balance sheet (\$3,893 for 2015):

Note 4 – Goodwill and Other Intangible Assets

On July 31, 2014, the Company completed the acquisitions of Beats Music, LLC, which offers a subscription streaming music service, and Beats Electronics, LLC, which makes Beats® headphones, speakers and audio software (collectively, "Beats"). The total purchase price consideration for these acquisitions was \$2.6 billion, which consisted primarily of cash, of which \$2.2 billion was allocated to goodwill, \$636 million to acquired intangible assets and \$258 million to net liabilities assumed. Concurrent with the close of the acquisitions, the Company repaid \$295 million of existing Beats outstanding debt to third-party creditors. In conjunction with the Beats acquisitions, the Company issued approximately 5.1 million shares of its common stock to certain former equity holders of Beats. The restricted stock was valued at approximately \$485 million based on the Company's common stock on the acquisition date. The majority of these shares, valued at approximately \$417 million, will vest over time based on continued employment with Apple.

The Company also completed various other business acquisitions during 2014 for an aggregate cash consideration, net of cash acquired, of \$957 million, of which \$828 million was allocated to goodwill, \$257 million to acquired intangible assets and \$128 million to net liabilities assumed.

The Company's acquired intangible assets with definite useful lives primarily consist of patents and licenses and are amortized over periods typically from three to seven years. The following table summarizes the components of gross and net intangible asset balances as of September 26, 2015 and September 27, 2014 (in millions):

	2015			2014		
	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount	Gross Carrying Amount	Accumulated Amortization	Net Carrying Amount
Definite-lived and amortizable acquired intangible assets	\$ 8,125	\$ (4,332)	\$ 3,793	\$ 7,127	\$ (3,085)	\$ 4,042
Indefinite-lived and non-amortizable acquired intangible assets	100	0	100	100	0	100
Total acquired intangible assets	\$ 8,225	\$ (4,332)	\$ 3,893	\$ 7,227	\$ (3,085)	\$ 4,142

Amortization expense related to acquired intangible assets was \$1.3 billion, \$1.1 billion and \$960 million in 2015, 2014 and 2013, respectively. As of September 26, 2015, the remaining weighted-average amortization period for acquired intangible assets is 3.6 years. The expected annual amortization expense related to acquired intangible assets as of September 26, 2015, is as follows (in millions):

2016	\$ 1,288
2017	1,033
2018	786
2019	342
2020	166
Thereafter	178
Total	\$ 3,793